



SECURITIES AND FUTURES COMMISSION

證券及期貨事務監察委員會

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香港中環干諾道中八號遮打大廈八樓

18 April 2012

Letter to Management Companies of SFC-authorized Funds

Dear Sirs,

Proposed India Taxation Legislation

This letter is issued to all management companies of SFC-authorized funds, so please forward this letter to all such management companies within your fund group for their prompt attention.

As you might be aware, the Finance Minister of India recently presented the Union Budget 2012-2013 to the Indian Parliament. The proposals in the Union Budget contained measures which, if enacted, may impact capital market investors and may impose new tax liabilities on capital markets activities by foreign investors in India. (the "Proposed Legislation").

In the circumstances, fund managers are reminded of their obligations to inform investors as soon as reasonably practicable of any information concerning the SFC-authorized funds under their management (the "Funds") which is necessary to enable investors to appraise the position of the Funds. To comply with the above ongoing disclosure obligations, fund managers should make proper assessment of the Proposed Legislation in order to understand its potential impact on the Funds as soon as possible. Fund managers should continue to closely monitor any related developments and keep investors informed of any information which is necessary to enable them to appraise the position.

Fund managers are further reminded of their duty to ensure the offering documents continue to be up-to-date and to contain sufficient information necessary for investors to make an informed investment decision given any new changes which may have emerged under the prevailing circumstances.

Should you have any questions, please do not hesitate to contact us.

Yours faithfully,

Christina Choi
Director
Investment Products